Report to The Portland Public Schools Board of Directors

Date: April 23, 2025

From: Bond Accountability Committee

Subject: BAC Report #47

Committee Charge

The Portland Public Schools Board of Education (Board) has appointed a citizen Bond Accountability Committee ("Committee") whose charge is to monitor the planning and progress of the bond programs relative to voter-approved work scope, schedule, and budget objectives.

The duties of the Committee are (i) to receive reports on the status and planned implementation of the bond program; (ii) to determine whether such status and implementation are consistent with the program approved by the voters; and (iii) to report their findings to the Board.

The current members of the BAC are:
Greg DiLoreto
Norman Dowty
Jessica Dunham
Chris Dunning
Travis George
Ryan Kinsella
Annie Kwon
Jonathan Truit
Cara Turano, Chair

Background;

In November 2012, voters approved a $482M capital improvement bond measure for Portland Public Schools. In May 2017, voters approved a $790M capital improvement bond measure. In November 2020, voters approved a $1.206B capital improvement bond measure.

All regular BAC meetings are publicly noticed and open to the public. Staff presentation materials and meeting minutes, along with BAC reports are regularly posted on the district website. Meetings are also video recorded, which allows BAC members unable to attend scheduled meetings to watch the proceedings and review the materials at their convenience.

The BAC meeting on April 23, 2025 was held in-person at Lincoln HS. Five members participated in the meeting, Norm Dowty, Jessica Dunham, Chris Dunning, Ryan Kinsella and Annie Kwon. The meeting covered four areas: Bond Program administration update, 2020

Curriculum project update, 2020 Capacity project update, and 2020 Infrastructure project update. A verbal Modernization Cost Reduction update was provided also. There was no public comment. Note that a written public comment was submitted on April 29th and emailed to BAC members on April 30th.

Report

1. Whether the school district bond revenues are expended only for the purposes for which the bonds were approved, and that bond revenues are not used for any purpose prohibited by law;

- The BAC reviewed the Bond Program Administration report and additional reports specific to bond revenues and expenditures.
- **Based on the information provided, it appears that the school district is spending revenues only for the purposes for which the bonds are approved.**

2. Whether the bond budget is sufficient to complete the scope of work as outlined in the voter-approved bonds;

- At the April meeting the BAC reviewed the Bond Program Administration report as well as the 2020 Curriculum report, the 2020 Capacity Project report and the 2020 Infrastructure report. Additionally, a Modernization Cost Reduction verbal only update was given by Stormy Shanks.
- **Based on the information provided, it appears that the 2012 bond program will have sufficient funding to complete the scope of work. Current projected costs for the 2012 bond program are 99.9% spent, estimated to be $483,000 under budget. It is noted in the report that the remaining 2012 Bond Funds will be used for completion projects at Grant that respond to lessons learned.** No active projects remain and the goal is to have that bond closed out by June 30th, 2025.
- **Based on the information provided, it appears that the 2017 bond program will have sufficient funding to complete the scope of work. The program is 91% spent as of the April 2025 meeting.** The current forecast is indicating approximately $67.8 million under budget for the 2017 bond program, which is up from the $43M in the January 2025 report. Of that amount the Lincoln High School modernization continues to forecast under budget at approximately $17M currently vs $18.6M in the January report. Approximately $24 million remains in contingency as of April 2025 which will ultimately be returned to 2017 Program Contingency when closed out.
- Specific to the 2017 Health & Safety projects, any funds not needed to complete certain H&S scope get reallocated to other H&S categories so the full $150M dedicated to H&S is utilized as such. **An additional $28.5 million of unallocated funds is available to Health & Safety projects and $104,000 unallocated for athletics.** The BAC was apprised at the January 2025 meeting that $10 million in 2017 bond funds were committed to facilities projects that will improve thermal comfort as agreed to in contract negotiations with the Portland Teachers Association.

- **Based on the information provided, the 2020 bond program is projecting sufficient funding to complete nearly all the scope of work. At this time 48% has been spent.** Contingency and unallocated project funds for the 2020 bond program are approximately $83 million. It was stated that the 2020 Contingency would be allocated later since Jefferson has not started yet. In response to a BAC question, Stormy confirmed that the Benson contractor change orders would be within budgeted contingency funds. Market dynamics are ever changing with items like local GC and subcontractor capacities and macro factors like international tariffs impacting pricing and schedules.
  As of the April 2025 meeting, no funding has been spent on the CBSE (Center for Black Student Excellence) and bond funds may only be spent on capitalizable assets once assets have been defined.
- A verbal Modernization Cost Reduction update for Jefferson, Wells and Cleveland was provided by Stormy Shanks.
  Based on the February 11th Board guidance the projects are being redesigned to Ed Spec SF minimum of 295,000 SF each. Health Centers and Teen Parent Centers will be provided only based on demonstrated need. All electric and Business Equity requirements will be maintained for the projects.
  Jefferson CMGC will be re-proposed with the RFP issued before the bond issue election and selection after the election.
  Total savings are expected to be in the range of $33M-$67M across the three projects. Further savings are been investigated in areas such as contracting methodology, insurance and auditing of the CMGC contracts.

*3. Whether the projects planned, in progress, and completed will meet the **scope of work** specified in the voter-approved bonds; and*

- The BAC reviewed the 2020 Curriculum, Capacity, and Infrastructure project updates.
- **Based on the information provided by staff, it appears that the school district is proceeding with work that meets the intent of the scope of work specified in the voter-approved bonds.**
- Modernization projects: Jefferson, Wells, and Cleveland are paused with cost reduction strategies currently underway at the direction of PPS Leadership.
- 2020 Curriculum, Capacity, and Infrastructure (ADA, SPED, Seismic) projects continue as planned with scope, schedule and budgets within program parameters.

*4. Whether the projects are being delivered on **schedule** relative to the voter-approved bonds;*

- The BAC reviewed the 2020 Curriculum, Capacity, and Infrastructure project updates.
- **Based on the information provided by staff, it appears the projects are within schedule parameters except for the Marysville School Seismic project which has experienced ongoing delays related to City of Portland permitting which required additional design work and several resubmittals.**

- Design for Jefferson, Cleveland, and Wells HS modernizations are currently on hold at the direction of the PPS Board to study cost saving strategies. Based on the direction of leadership, the delay in schedule could be significant.

5. The Committee will receive and review copies of annual performance audit reports and financial audit reports to ensure Bond revenues are expended in compliance with state law and the ballot measure language.

- **All bond revenues appear to be in compliance with state law and the ballot measure language.**

Additionally, the Committee may provide feedback and/or advice to the Board on one or more of the following topics:

- *Alignment with the goals and principles of the Long-Range Facilities Plan;*
- *Alignment with the goals of the Business Equity Policy;*
- *District standards and innovative practices for achieving lower maintenance and construction costs while improving operating efficiency, sustainability, and increasing building longevity;*
- *Historic preservation and school renovation opportunities compatible with the architecture of surrounding Portland neighborhoods;*
- *Potential capital partnerships for joint and shared use of PPS facilities;*
- *Implementation of appropriate ways to address seismic issues;*
- *Topics and scope for the annual performance audit work plan;*
- *Compliance with ADA; and*
- *Communicating key information related to the bonds to the School Board, public groups, organizations and stakeholders.*

- Total cumulative Business Equity is down from the previous report 16.63% to 16.44% while the current 12 months is down from 16.14% to 15.75% which continues to trend below the 18% goal. It must be noted however; business equity utilization data represents a point in time and may not fully represent actual payments received by Certified Business.
- Cumulative Workforce Equity performance remained the same from the previous report as did minority workforce participation at 32% (the goal is 25%) and female workforce participation remained at 6% (the goal is 14%). Apprenticeship stayed at 23% (above the 20% requirement).

General Comments

In the interest of improving the effectiveness of the BAC and our ability to meet the intent of our charter we have offered recommendations to OSM staff that include:

- **The BAC would like to see a comparison for the ERP implementation to other similarly sized school districts to understand how/if the $62 million budget aligns in terms of costs.**
- In previous reports the BAC had requested additional members. We are happy to have added the five new members to the BAC in January 2025.
- The BAC requests if BAC relevant information is released to the public that the BAC receives notification that the documents are available.
- The BAC appreciates the cost saving strategies being explored for the 2020 Modernization projects inducing Jefferson, Cleveland, and Wells and wants to reiterate that this hold on the projects will have an impact on the schedule of the projects as well as potential escalating costs. Please keep us informed as new information becomes available.
- The Center for Black Student Excellence is at high risk of not being delivered on time or as intended. The BAC hopes that based on recent news media the work plans, schedules, and conceptual cost options for three potential locations will be determined by the end of February. The BAC would appreciate hearing CBSE plan updates from OSM in between meetings especially in regards to press regarding bond related initiatives.

In conclusion, we commend PPS with what they have accomplished as the number of projects is numerous and are complex. Projects are generally coming in on time and within budget and scope with the exceptions previously noted. We continue to appreciate the quality and professionalism of OSM staff, design teams and contractors as they take on multiple issues and ongoing efforts to explore new approaches. We thank the Board for this opportunity to serve and play a small part in your bond programs.

Additional Resources:

PPS Bond Program website at https://www.pps.net/Page/117
PPS BAC page at https://www.pps.net/Page/464